

**Time:** 4 minutes**Outcome:** Explain central-bank structure, roles, independence, and the FOMC.**Difficulty:**

Intermediate

Central Banking and the Federal Reserve



THE CORE IDEA

The Federal Reserve conducts monetary policy, supplies reserve balances, supports payments, and serves as lender of last resort. Changes in reserves and interest rates are monetary policy territory. The Fed acts as the central bank and lender of last resort. The Federal Reserve conducts monetary policy and supports the banking/payments system; the Treasury manages federal finances and debt operations. Commercial banks create deposit liabilities when they lend; the central bank creates reserve balances/base money used by banks. The Fed includes the Board of Governors and 12 regional Reserve Banks. The FOMC directs monetary policy. Operational independence allows policy decisions without day-to-day political approval, within a mandate set by Congress.



HOW TO RECOGNIZE IT

- The Federal Reserve conducts monetary policy and supports the banking/payments system; the Treasury manages federal finances and debt operations.
- The FOMC sets the monetary-policy stance and directs open-market operations.
- A central-bank committee decides to change monetary conditions.
- A commercial bank approves a loan and credits the borrower's checking account.
- Commercial banks create deposit liabilities when they lend; the central bank creates reserve balances/base money used by banks.



WATCH OUT

Do not treat commercial-bank deposits and central-bank reserves as the same liability issued by the same institution. Commercial banks create deposit liabilities when they lend; the central bank creates reserve balances/base money used by banks.



WORKED EXAMPLE: CENTRAL BANK OR TREASURY?

The Federal Reserve buys Treasury securities from a bank, adding reserve balances. In the limited-reserves textbook model, this tends to lower short-term rates; in an ample-reserves system, administered rates are the main rate-control tool. The purchase is monetary policy, not a change in federal taxes or spending.



CHECK YOURSELF

Which group directs open-market operations?

**READY?**

Return to the game and master this concept.